

THE FIX & FLIP FIELD GUIDE

Real Numbers. Real Markets. Real Financing.

The Only Guide Built Around How Actual Investors Fund
and Profit

From Fix & Flip Real Estate in 2026

Presented by Diamond Media Publishing LLC

Powered by Groundfloor Lending — America's Fix & Flip Lender

© 2026 Diamond Media Publishing LLC | All Sales Final | No Refunds

CONTENTS

INTRODUCTION	The Real Numbers Nobody Shows You
CHAPTER 1	Understanding the Fix & Flip Business
CHAPTER 2	The Math: ARV, the 70% Rule & Deal Analysis
CHAPTER 3	Finding Deals
CHAPTER 4	Financing Your Flip — Where Groundfloor Comes In
CHAPTER 5	The Renovation Playbook: What to Spend and What to Skip
CHAPTER 6	Where to Flip in 2026 — Market Selection
CHAPTER 7	Exit Strategy & Selling the Flip
CHAPTER 8	Your First Deal Checklist
CLOSING	The Other Side of Groundfloor

INTRODUCTION

The Real Numbers Nobody Shows You

Let me be straight with you from page one. I'm not a YouTube guru. I don't have a private mastermind that costs \$5,000 to join. I'm an investor who has been using Groundfloor to fund and participate in fix & flip deals for years — and this guide is exactly what I wish I'd had when I started.

The fix & flip market in 2026 is not what it was in 2021. The days of buying anything and watching it appreciate while you renovate are over. But the opportunity is absolutely still there — you just need to know where to look and how to run the numbers.

Here's what the actual data says right now:

297,045

\$65,981

25.5%

avg ROI 2025

Sources: ATTOM Data Solutions 2025 Year-End U.S. Home Flipping Report

Those numbers tell one story. Here's the other half of it: Pittsburgh posted a 106.8% gross ROI in Q2 2025. Buffalo exceeded 109%. Cleveland hit 72% — nearly triple the national average. The market didn't die. It got hyper-local and it rewarded investors who actually know what they're doing.

This guide covers the full system: how to find deals, how to run numbers, how to fund your flip through Groundfloor Lending, how to renovate without overcapitalizing, and how to exit profitably. Everything in here is sourced from verified data — ATTOM, JBREC/Kiavi surveys, Groundfloor's own lending blog, and the Cost vs. Value reports. No fluff, no hype.

Let's get into it.

CHAPTER 1

Understanding the Fix & Flip Business

How the Model Actually Works

Fix & flip investing is simple in concept: you buy a distressed property below market value, renovate it, and sell it at or above the After Repair Value (ARV). The profit is the spread between your all-in cost and your sale price, minus financing, holding, and transaction costs.

Simple concept. Execution is where people fail. According to data from 2023, **22% of all flips — 1 in 5 — did not achieve a profitable sale.** That's not because the business model is broken. It's because investors overpaid, underestimated rehab costs, chose the wrong market, or ran out of capital mid-project.

The Numbers Behind the Business

In 2025, 297,045 single-family homes and condos were flipped nationwide — the lowest annual total since 2020, down 3.9% from 2024. Flips made up 7.4% of all home sales. The average gross profit was \$65,981, but gross profit is not net profit. After financing costs, holding costs, agent commissions (typically 5–6%), and closing costs, most investors are looking at **net profits between \$25,000 and \$50,000 per deal.**

The average flip takes **166 days from purchase to sale.** Every extra day costs money. If your Groundfloor loan is at 10%, you're paying roughly \$650/month in interest alone on a \$75,000 loan. Speed is not optional — it's margin.

Who Is Flipping Houses Right Now

In Q4 2025, ATTOM found that 68,999 homes were flipped by 54,992 investors — an average of 1.25 homes per investor. Most active flippers are not large institutions running hundreds of deals. They're small operators doing 1–6 projects per year. Large-scale investment firms hold roughly 35% of the flipping market share, but the remaining 65% is individual investors.

37.7% of all flips in 2025 used investor financing — up from 36.9% in 2024. The trend toward financed flips is growing because experienced investors know that preserving cash while leveraging lender capital is how you scale.

According to ZipRecruiter, the average annual salary for a real estate flipper in the U.S. is approximately **\$86,796**. Experienced full-time flippers completing 4–6 projects per year consistently earn six figures.

PRO TIP

Your goal on your first flip is not maximum profit. Your goal is to complete a deal, learn the system, and build lender history with Groundfloor. A clean \$25,000 net profit on your first deal is a massive win.

CHAPTER 2

The Math: ARV, the 70% Rule & Deal Analysis

What Is ARV and How to Calculate It

ARV — After Repair Value — is what the property will sell for once fully renovated. It is the single most important number in your deal analysis. Get it wrong and every other calculation is garbage.

How to calculate ARV correctly:

- Pull sold comps only — not active listings, not pending. Sold.
- Use the last 60 days maximum. Markets shift fast.
- Match on beds/baths, square footage (within 20%), and neighborhood.
- Apply a price per square foot multiplied by your property's post-renovation square footage.
- Be conservative. Overestimating ARV is the #1 beginner mistake.

■ WARNING

Never use the list price of active inventory to calculate ARV. Active listings are asking prices — they haven't closed. A professional ARV uses only sold comps from the last 60 days. This single mistake has cost investors tens of thousands of dollars.

The 70% Rule — Your Deal Filter

The 70% Rule is the most widely used quick-analysis formula in fix & flip. It tells you the maximum you should pay for a property to maintain a healthy profit margin.

$$\text{Maximum Allowable Offer (MAO)} = (\text{ARV} \times 0.70) - \text{Estimated Repair Costs}$$

Real Example:

Variable	Amount
----------	--------

ARV (after renovation sale price)	\$300,000
ARV × 70%	\$210,000
Estimated Repair Costs	\$45,000
Maximum Allowable Offer	\$165,000
If you buy at \$165K and sell at \$300K all-in:	~\$90K gross spread

When to Adjust the 70% Rule

The 70% rule is a starting point, not a universal law. Markets vary significantly:

Market Type	Adjusted %	Why
High-cost (California, NYC metro)	75–85%	Higher ARVs compress margins less
Standard suburban (most US metros)	70%	Standard application
Rural / low-demand markets	60–65%	Longer DOM, fewer buyers, more risk
Competitive investor markets (Dallas, Austin)	65–68%	Low margins — be conservative

The Full Cost Stack — Know Before You Offer

Gross profit is not what you keep. Here is what actually comes out of every deal:

- **Purchase closing costs:** 1–3% of purchase price
- **Renovation / rehab:** Your scoped estimate + 15–20% contingency
- **Financing costs (Groundfloor):** 9.99%+ annualized on loan amount
- **Holding costs (taxes, insurance, utilities):** \$500–\$1,500/month depending on market
- **Selling agent commission:** 5–6% of sale price
- **Selling closing costs:** 1–2% of sale price

PRO TIP

On a \$300K ARV deal: selling commissions alone are \$15,000–\$18,000. Always include this in your deal analysis before you make an offer. Beginners routinely forget commissions and wonder where their profit went.

CHAPTER 3

Finding Deals

The single biggest competitive advantage you can have as a flipper is deal flow. Investors who wait for MLS listings are competing with every other buyer in the market. The real money is in off-market or early-stage deals.

The MLS — Still Useful, But Know the Limits

Yes, you can find flip deals on the MLS. Especially in 2026 as inventory has loosened in many markets. Look for: days on market over 60, price reductions, estate sales, and listings with words like 'as-is,' 'cash only,' or 'investor special.' These signal motivated sellers and distressed properties.

Off-Market Deal Sources

Direct Mail

Send postcards to absentee owners, out-of-state landlords, and pre-foreclosure lists. Response rates of 1–3% are normal — 100 mailers can generate 1–3 leads.

Driving for Dollars

Drive target neighborhoods looking for overgrown lawns, boarded windows, piled mail, and deferred maintenance. Note the address, look up the owner in county records, and send a letter.

Probate Lists

County probate courts publish estates going through the process. Heirs often want to sell property quickly and without hassle. This is one of the cleanest motivated seller sources available.

Foreclosure Pipeline

Pre-foreclosure notices (lis pendens) are public record in most states. The homeowner has 30–120 days before auction — they may be open to a quick sale.

Wholesale Deals

Wholesalers put distressed properties under contract and assign them to investors for a fee (\$5K–\$20K). Useful for deal flow but verify ARV and rehab estimates independently — never trust a wholesaler's numbers.

Real Estate Auctions

Courthouse steps and online platforms like Hubzu, Auction.com, and Xome list distressed properties. Competitive but can yield strong deals. Requires cash or pre-arranged financing.

PRO TIP

Focus on 2–3 neighborhoods before expanding. Deep local knowledge improves ARV accuracy, streamlines contractor relationships, and builds your network efficiently. Investors who chase deals across 10 zip codes rarely outperform investors who dominate 2.

CHAPTER 4

Financing Your Flip — Where Groundfloor Comes In

This is where most first-time investors get stuck. Traditional banks don't do fix & flip loans — they won't lend on distressed property and they take 30–60 days to close. By the time they approve you, someone else bought the deal.

Fix & flip investors use one of three funding sources: hard money lenders, private money lenders, or crowdfunded platforms like Groundfloor. Each has tradeoffs.

The Lending Landscape in 2026

Lender Type	Rate Range	Close Time	Best For
Traditional Bank	6–8%	30–60 days	Long-term holds only
Hard Money	10–14%	7–14 days	Experienced investors
Private Money	8–12%	Varies	Relationship-based
Groundfloor Lending	From 9.99%	14 days	New & experienced

Average bridge loan rates fell from 11.1% in September 2024 to 10.43% in September 2025. For 2026, rates are expected to remain stable with potential modest downward movement if inflation stays contained.

Groundfloor Lending — The Full Breakdown

I use Groundfloor because the terms are transparent, the process is fast, and they work with both new and experienced investors. Here are the verified specs:

Loan Amount	\$75,000 – \$2,500,000
Loan Terms	12 or 18 months
Interest Rate	Starting at 9.99% (based on experience, ARV, project scope)

Loan-to-After Repair Value	Up to 70% LTARV
Loan-to-Cost	Up to 90% LTC; up to 100% for qualified borrowers
Origination Points	2.00% – 4.00%
Closing Speed	As little as 14 business days
Income Documentation	Not required — asset-based approval
Monthly Payments	Deferred — no payments during the project
Credit Score	640+ preferred; deal quality matters more than score
States Served	32 states for 1–4 unit properties; all states for new construction
Property Types	1–4 unit residential. No mobile homes, commercial, or lots over 3.5 acres

What Groundfloor Looks at When You Apply

Unlike a bank, Groundfloor doesn't care about your W-2 or tax returns. They care about the deal. Here's what they evaluate:

- Property type and location
- ARV accuracy — your comp analysis
- Renovation scope — is the budget realistic?
- Your reserves (cash available beyond the loan)
- Borrower experience — prior flips documented in the last 36 months
- Contractor relationships — licensed and insured

First-time investors can qualify. Groundfloor works with new investors who demonstrate planning, have strong contractor support, and maintain solid credit. A strong project plan and clear ARV are more important than prior flipping experience.

How the Draw Schedule Works

Groundfloor doesn't hand you the renovation budget as a lump sum. Funds are released in stages as work is completed and verified. This is called a draw schedule. Here's how it typically works:

Draw Stage	Triggered By
Initial Draw (at closing)	Purchase and project launch
Structural / Rough-In Draw	Foundation, framing, plumbing/electrical rough-in complete
Finish Draw	Drywall, flooring, fixtures, kitchen, baths complete
Final Draw	Certificate of occupancy / final inspection passed

■ WARNING

Draws are reimbursements, not advances. You pay the contractor, the work gets inspected, and then Groundfloor releases the funds. Plan 2–3 weeks between draw requests for cash flow management. Budget float capital — money to pay contractors before each draw releases.

READY TO FUND YOUR FIRST DEAL?

Apply through Groundfloor Lending — rates start at 9.99%, close in as little as 14 business days, no income documentation required, no payments during your project.

[Click Here to Apply → groundfloor.onelink.me/Jaqm/referral?code=y4ae8e](https://groundfloor.onelink.me/Jaqm/referral?code=y4ae8e)

CHAPTER 5

The Renovation Playbook: What to Spend and What to Skip

Renovation is where most beginners bleed money — either from overspending on upgrades that don't add value, or from underestimating costs and blowing the budget. The data is clear on what moves the needle and what doesn't.

The High-ROI Renovation List (2026 Data)

Renovation	Avg Cost	ROI / Cost Recovery	Notes
Refinish hardwood floors	\$2,000–\$5,000	147%	Highest single ROI renovation
Garage door replacement	\$4,000–\$5,500	85–194%	Top exterior ROI
Minor kitchen remodel	\$15,000–\$30,000	80–100%	Reface, don't gut
Steel entry door replacement	\$2,000–\$3,500	88–194%	Curb appeal + security
Bathroom update (mid-range)	\$8,000–\$18,000	Up to 74%	Spa features sell
Fresh interior paint (neutral)	\$3,000–\$7,000	100%+	Most common pre-listing project
Landscaping / curb appeal	\$1,500–\$5,000	100%+	First impression = everything
HVAC replacement / heat pump	\$8,000–\$15,000	95–105%	Buyers demand it in 2026

Sources: JLC 2025 Cost vs. Value Report, ZINC Financial, BuildersGroup Construction, Amerisave 2026

What NEVER to Spend Money On

These renovations consistently fail to return their cost on a fix & flip:

- In-ground pools (\$25,000–\$75,000 — a liability in most markets, hurts resale in colder climates)
- High-end luxury finishes in a mid-range neighborhood (buyers won't pay for it)
- Primary suite additions or room additions (major structural cost, 24–36% ROI)
- Over-improving for the block — if your home will be the most expensive on the street, stop
- Custom features that suit your taste but not the market's

The Contingency Rule

Always budget 15–20% above your contractor estimate as a contingency. In 2024, 39% of homeowners exceeded their renovation budget. On older housing stock (pre-1980), budget 20% minimum. Common surprise costs:

- Knob-and-tube electrical rewire: \$5,000–\$15,000
- Galvanized plumbing replacement: \$8,000–\$12,000
- Foundation issues: \$5,000–\$40,000+
- Mold remediation: \$2,000–\$10,000
- Clay sewer pipe replacement: \$10,000–\$25,000
- Roof replacement (hidden damage): \$8,000–\$20,000

PRO TIP

Always get a sewer scope inspection before buying. Clay pipes are common in pre-1970s homes — especially in Midwest markets like Cleveland and Pittsburgh where ROI is highest. A \$300 sewer scope can save you \$15,000 in surprises.

CHAPTER 6

Where to Flip in 2026 — Market Selection

National averages are for news headlines, not investment decisions. While Austin investors averaged just \$8,844 in gross profit in 2024 — essentially breakeven after carrying costs — investors in Pittsburgh posted 106.8% gross ROI and Buffalo exceeded 109%. The flip market is hyper-local.

Top Markets for Fix & Flip ROI in 2026

Market	Gross ROI	Avg Gross Profit	Why It Works
Peoria, IL	73.8%	\$56,250	Strong price appreciation (+8.6% YoY), low entry costs, tight inventory
Rockford, IL	54.3%	\$62,500	Fast price growth, inventory -40% below pre-pandemic levels
Pittsburgh, PA	106.8%	Varies	Affordable aging stock, strong rental demand as exit backup
Buffalo, NY	109%+	Varies	Consistently top-10 ROI market for years
Cleveland, OH	72%	\$50–65K	Low acquisition (\$50–80K), realistic ARVs, exit flexibility to rental
Fort Smith, AR	50.2%	\$68,500	Low entry, consistent demand, inventory -60% below 2019
Worcester, MA	Strong	High	Boston spillover market, 12.6% surge in sales volume projected 2026

Sources: LendingOne Top 10 Markets 2026, ATTOM Q2–Q3 2025, Stormfield Capital, RealEstateSkills.com

Markets to Avoid in 2026

Market	2024 Gross Profit	Problem
--------	-------------------	---------

Austin, TX	\$8,844	Essentially breakeven after carrying costs
San Antonio, TX	\$17,832	Thin margins — need established contractor network
Honolulu, HI	Low	1.7% ROI — worst major market
Dallas, TX	Low	5.3% ROI — high competition, overbuilt

How to Evaluate Any Market in Under 30 Minutes

- 1. Pull ATTOM or Redfin flip data for the metro:** Look for gross ROI above 30% and flip volume above 50 deals/quarter
- 2. Check inventory vs. 2019 levels:** Markets with inventory 30%+ below pre-pandemic have seller pressure — good for exit
- 3. Verify acquisition costs:** Can you buy a flip candidate for \$50–\$150K? Higher floors compress your 70% rule severely
- 4. Test your 70% rule on a real comp:** If the math doesn't work at 70%, the market may not work for you yet
- 5. Talk to a local wholesaler:** They know what's moving and what's sitting — 15 minutes of conversation beats hours of research

CHAPTER 7

Exit Strategy & Selling the Flip

Price to Sell, Not to Marvel at Your Own Work

The #1 mistake on the exit is overpricing. You renovated a beautiful property and you want to see that reflected in the price. The market doesn't care what you put into it — it only cares what comparable properties sold for. Price at or slightly below the top comp and you'll sell in under 30 days. Price above comps and you'll sit, reduce, sit again, and watch your margins evaporate.

In 2026, buyers are rate-sensitive and will not engage in bidding wars on an overpriced flip. Days on market kills profits. Every additional month adds roughly \$1,000–\$2,500 in combined holding and financing costs.

Working With the Right Agent

Use an investor-friendly agent who understands quick sales and doesn't try to maximize list time for commissions. Ask them: 'How many investor-owned flips have you listed in the past 12 months?' If the answer is zero, keep looking.

Consider listing on the MLS yourself through a flat-fee service (\$300–\$500) and offering buyer's agent commission only (2.5–3%). You save the listing commission — that's \$6,000–\$9,000 back in your pocket on a \$300K deal.

The Rental Exit — Your Backup Plan

If the retail market stalls on your property, you have a second option: convert to a rental and refinance with a DSCR loan. DSCR (Debt Service Coverage Ratio) loans are designed for rental properties and don't require income documentation — they qualify based on the property's rental income vs. the mortgage payment. This lets you pay off your Groundfloor loan, hold the asset, and collect rent while waiting for a better exit.

PRO TIP

Markets with strong rental demand — Cleveland, Pittsburgh, Columbus — are ideal for flippers precisely because you have two exits. If retail stalls, you rent and refinance. That flexibility is why smart investors target these markets over high-price coastal metros.

Tax Reality Check

Fix & flip profits are taxed as **ordinary income** (short-term capital gains) if the property is held under 12 months — that's your marginal income tax rate, which could be 22–37% at the federal level. This is not investment income; it's business income to the IRS.

Options to reduce the tax hit: operate through an LLC (consult your CPA), track every expense as a deduction (materials, financing costs, mileage, professional fees), and consider a 1031 exchange if you're moving into a buy-and-hold portfolio. Always work with a CPA who has real estate investor experience — not a general tax preparer.

CHAPTER 8

Your First Deal Checklist

Use these checklists on every deal. Print them, keep them in a project folder, and check off each item before moving to the next phase.

Pre-Offer Due Diligence

- Pull sold comps — last 60 days, same beds/baths, within 0.5 miles
- Calculate ARV conservatively (use lowest comp, not highest)
- Apply 70% Rule: $(ARV \times 0.70) - \text{Estimated Repairs} = \text{Max Offer}$
- Walk the property with a contractor — get a rough rehab estimate
- Order a property inspection (\$300–\$500)
- Get a sewer scope inspection (especially pre-1980 homes)
- Check for permits on prior work (contact county building department)
- Verify title is clear — no liens, judgments, or back taxes
- Confirm property is in a Groundfloor-approved state (32 states)
- Calculate full cost stack: purchase + rehab + financing + holding + selling

Loan Application Prep (Groundfloor)

- Pull your credit report — verify 640+ score
- Have purchase contract or letter of intent ready
- Prepare itemized renovation budget from licensed contractor
- Document any prior flip experience (HUD-1s, sale records)
- Have proof of reserves (bank statements)
- Prepare ARV analysis with sold comp documentation
- Have contractor license and insurance documentation ready
- Complete Groundfloor pre-application at lending.groundfloor.com

Renovation Management

- Scope of work document signed by contractor before any work starts
- All permits pulled before work begins (never skip permits)

- Progress photos at each phase for draw requests
- Weekly site visits — every week, no exceptions
- Track actual spend vs. budgeted spend weekly
- Lien waivers obtained from contractors at each draw
- Draw request submitted with completed work documentation
- 20% contingency reserve held and not touched until needed

Sale Preparation

- Professional photography (not phone photos — ever)
- Staging — at minimum virtual staging on photos
- MLS listing with all renovations itemized
- Price at or below top comp — do not overprice
- Offer buyer's agent commission (2.5–3%)
- Respond to all offers within 24 hours
- Target closing within 30 days of accepted offer
- Document all expenses for tax preparation

CLOSING

The Other Side of Groundfloor

Everything in this guide has focused on Groundfloor as a *borrower* — using their capital to fund your fix & flip projects. But Groundfloor has another side that most people don't know about.

You can also use Groundfloor as an **investor** — lending your own money to fix & flip borrowers and earning interest while they do the work. This is how I personally use Groundfloor on both sides of the business.

The Investor Side — The Numbers

\$2.2B+

10%

\$10

minimum inv

Groundfloor's Notes product has maintained a **100% on-time payment record since 2018**, paying out \$8.4 million in interest in 2025. As an investor, you're funding the same type of fix & flip loans described in this guide — except you're the lender, earning 5–12% on short-term debt secured by real property.

The Flywheel Portfolio — their flagship investor product — is qualified by the U.S. Securities and Exchange Commission and available to both accredited and non-accredited investors. You start investing with as little as \$100.

This is not a pitch. This is how the platform works — I use it on both sides and it's the most transparent fix & flip lending platform I've found. The link below works for both borrowers applying for a loan and investors looking to fund loans.

READY TO FUND YOUR FIRST DEAL?

Apply through Groundfloor Lending — rates start at 9.99%, close in as little as 14 business days, no income documentation required, no payments during your project.

[Click Here to Apply → groundfloor.onelink.me/Ja9m/referral?code=y4ae8e](https://groundfloor.onelink.me/Ja9m/referral?code=y4ae8e)

© 2026 Diamond Media Publishing LLC | Brooklyn, NY | All Sales Final | No Refunds | fixandflip.com | This guide is for informational purposes only and does not constitute financial, legal, or investment advice. Always consult qualified professionals before making investment decisions. Results vary.